

Industry Size

₹1.02 lakh cr

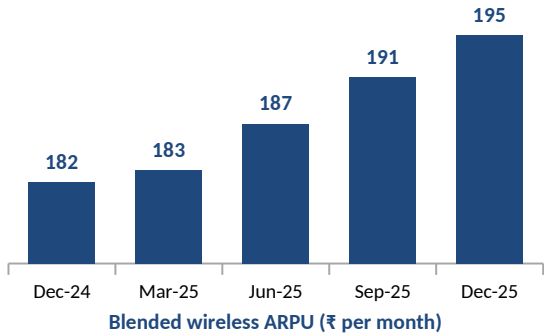
Sector gross revenue, quarter ended Dec-2025

Adjusted gross revenue was **₹84,270 cr** for the quarter, up 8.1% YoY — roughly **₹3.4 lakh cr** annualised [\(Source\)](#)

1,306 Mn telephone subscribers and **1,029 Mn** internet subscribers; teledensity 91.7% [\(Source\)](#)

Access services are **84.5% of AGR**; private operators hold 92.2% of subscribers [\(Source\)](#)

Industry Growth



Blended wireless ARPU (₹ per month)

Blended ARPU is total wireless revenue divided by the average subscriber base each month, across prepaid and postpaid. The trend is price, not volume: ARPU has risen 7% over five quarters while realisation per GB has fallen 16% to ₹7.87 and voice minutes have stayed flat near 1,012 a month — operators earn more per user without added capex [\(Source\)](#)

+8.1%
Sector AGR growth, YoY (Q3 FY26)

25.7 GB
Wireless data per user per month

₹7.87
Realisation per GB, down from ₹9.34 a year ago

45–47%
5G penetration by Mar-26, from ~35% in Mar-25

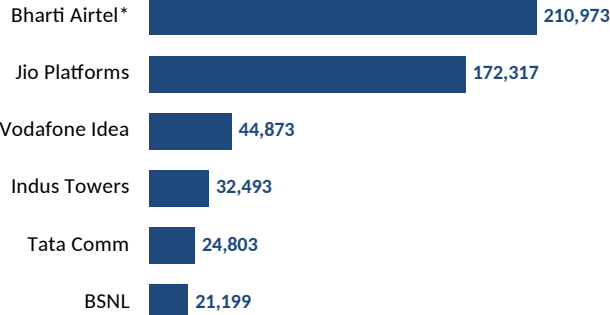
CRISIL expects sector operating profit to rise 12–14% to about ₹1.55 lakh crore in FY26 on ARPU of ₹220–225 and data usage of 31–32 GB [\(Source\)](#)

Key Players & Market Share

44.6%
Reliance Jio share of access AGR

40.0%
Bharti Airtel share of access AGR

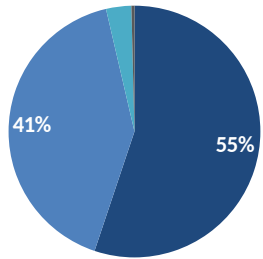
FY26 revenue (₹ Cr)



*Airtel's ₹2.11 lakh cr is consolidated and includes Africa and enterprise; its India mobile business is a subset. Revenue shares above are access AGR for the quarter ended Sep-25 [\(Source\)](#)

- **A duopoly with two spectators:** Jio and Airtel take 84.6% of access revenue between them, leaving Vodafone Idea at 11.5% and BSNL at 2.8% [\(Source\)](#)
- **Subscriber share understates the gap:** Jio has 39.8% of wireless subscribers and Airtel 37.1%, but Airtel earns far more per user — and its Dec-25 jump reflects M2M SIMs being counted for the first time, not real share capture [\(Source\)](#)
- **Vodafone Idea is shrinking, not stabilising:** it lost 4.0 Mn subscribers in the December quarter to end at 198.8 Mn, even as ARPU rose to ₹190 [\(Source\)](#) [\(2\)](#)
- **BSNL's revival is real but small:** ARPU rose from ₹71 to ₹101 on its indigenous 4G rollout, yet revenue grew only 1.7% to ₹21,199 Cr and the FY26 loss widened to ₹4,738 Cr [\(Source\)](#)
- **The infrastructure layer is a separate profit pool:** Indus Towers earned ₹32,493 Cr at a 55% margin simply renting space on towers to the same three operators [\(Source\)](#)

Business Model & Industry Mix



■ Urban wireless ■ Rural wireless
■ Urban wireline ■ Rural wireline

Wireline is 3.6% of connections. Urban teledensity is 148.9% against 59.6% rural — the growth headroom is entirely rural [\(Source\)](#)

Wireless access — prepaid, tariff-cycle led

1,259 Mn connections at a blended ₹195 a month, overwhelmingly prepaid. Revenue moves in steps when the three operators raise tariffs together, not continuously. [\(Source\)](#)

Home broadband & fixed wireless access

45.3 Mn wired connections plus 14.6 Mn 5G and unlicensed-band FWA links. FWA lets operators monetise 5G spectrum already paid for, without laying fibre. [\(Source\)](#)

Enterprise, data centres and digital

Connectivity, cloud, IoT and CPaaS sold to businesses, letting telcos monetise the network beyond retail subscribers. Every major operator — Tata Comm, Jio Platforms, Airtel Business — runs this as a distinct enterprise arm. [\(Source\)](#)

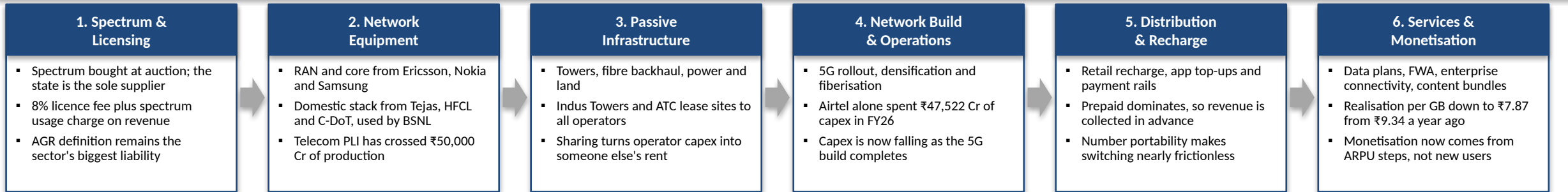
Passive infrastructure — towers and fibre

Tower companies own the sites and lease them to every operator, converting network capex into a rental annuity: Indus Towers runs a 55% operating margin and 19.5% ROCE. [\(Source\)](#)

Revenue mix: access services generate 84.5% of sector AGR; national long distance adds 7.4% and internet service providers 6.3%. Voice is now a free attachment to a data plan — minutes per user have been flat near 1,012 a month for over a year [\(Source\)](#)

Cost structure: this is a fixed-cost business with a regulatory tax on top — an 8% licence fee plus spectrum usage charges are levied on revenue, so ₹7,753 Cr of the December quarter's AGR went to the government before any operating cost [\(Source\)](#)

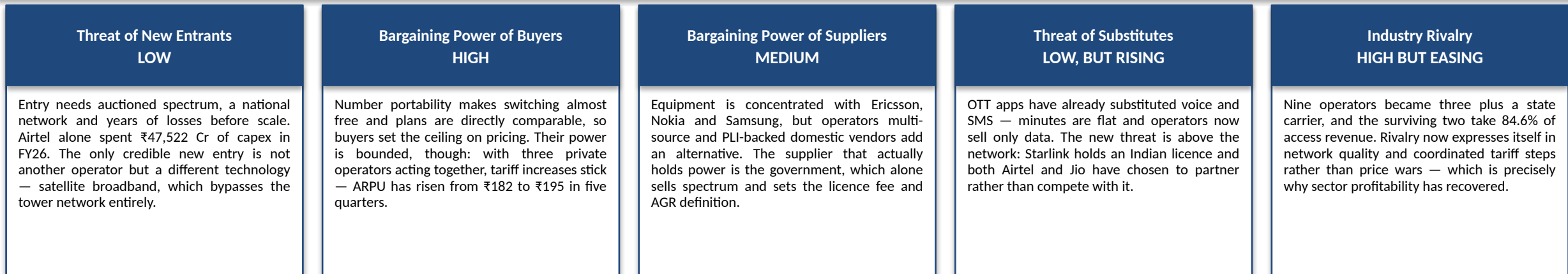
Value Chain & Supply Chain



Supply-chain reality: the hardware is still largely foreign. The telecom PLI scheme has crossed ₹50,000 Cr of production and about ₹10,500 Cr of exports on a ₹12,195 Cr outlay, and Ericsson and Nokia now build antennas and 5G gear in Chennai and Pune — but India still imports roughly seven times the telecom equipment it exports [\(Source\)](#) [\(2\)](#) [\(3\)](#)

The genuinely scarce input is spectrum, and there is exactly one supplier. Auction prices set the capital base, the licence fee and spectrum usage charge tax the revenue, and the definition of adjusted gross revenue determines both — which is why a legal question about what counts as revenue has been the sector's dominant financial risk for a decade [\(Source\)](#)

Porter's Five Forces



Net assessment: consolidation has fixed the industry structure that a decade of price war broke. With two operators controlling 85% of revenue, the network already built and capex rolling off, incremental ARPU converts almost entirely into cash: Airtel turned a 55% EBITDA margin into ₹76,683 Cr of free cash flow in FY26, while Jio Platforms converted scale into ₹30,053 Cr of profit on ₹1.72 lakh cr of revenue. The forces that remain adverse are the ones neither player controls: a single supplier of spectrum that also taxes revenue, and a regulator that decides whether relief granted to one player extends to the others [\(Source\)](#) [\(2\)](#)

Growth Drivers

- **Tariff repair is the primary driver** — blended ARPU rose from ₹182 to ₹195 over five quarters, and Morgan Stanley expects a further 16–20% prepaid and postpaid increase during 2026 [\(Source\)](#)
- **Data intensity keeps compounding** — 25.7 GB per user a month industry-wide and 42.3 GB on Jio, against realisation of just ₹7.87 per GB; volume growth costs the operator almost nothing [\(Source\)](#)
- **5G is finally being monetised** — penetration reaches 45–47% by March 2026 from about 35% a year earlier, with Jio alone at 268 Mn 5G users [\(Source\)](#)
- **Fixed wireless access opens a second consumer market** — 14.6 Mn FWA links already, reaching homes that fibre would never reach economically [\(Source\)](#)
- **Rural connectivity is the volume headroom** — rural teledensity is 59.6% against 148.9% urban, and rural internet penetration is 47.6% against 116.1% [\(Source\)](#)
- **Capex is rolling off as the build completes** — Airtel's net debt to EBITDA fell from 1.42x to 0.79x in a single year as spending normalised [\(Source\)](#)
- **Policy is pushing investment in** — the National Telecom Policy 2025 targets 90% 5G population coverage, doubling the sector's GDP contribution and about ₹1 lakh crore of annual investment [\(Source\)](#)

Emerging Trends

- **Satellite broadband becomes a real channel** — Starlink is licensed and preparing rollout at roughly ₹3,000 a month with a ₹33,000 kit, aimed at coverage gaps rather than the mass market [\(Source\)](#)
- **Fixed wireless access replaces the fibre build** — 5G FWA lets operators sell home broadband off spectrum they have already paid for, which is why it is scaling faster than wired connections [\(Source\)](#)
- **The telco becomes a platform, not a pipe** — Jio Platforms earned ₹30,053 Cr of profit on ₹1.72 lakh cr of revenue by bundling connectivity with digital services [\(Source\)](#)
- **AI moves into the network itself** — operators are deploying AI for network optimisation, fraud control and predictive maintenance, and positioning capacity for AI and cloud workloads [\(Source\)](#)
- **Import substitution is the policy priority** — NTP 2025 targets a 150% rise in domestic manufacturing output and 50% import substitution, with 30 research labs and a dedicated telecom institute [\(Source\)](#)
- **Towers and fibre are being separated from operators** — passive infrastructure is now an independent asset class earning utility-like returns, with Indus Towers at a 19.5% ROCE [\(Source\)](#)
- **The tariff cycle is becoming institutional** — coordinated increases roughly every two years have replaced continuous price competition as the sector's revenue mechanism [\(Source\)](#)

Recent Investments / M&A

- **The state became Vodafone Idea's largest shareholder:** ₹36,950 Cr of dues were converted into equity, leaving the government with close to 49% of the company [\(Source\)](#)
- **Vi's AGR liability was frozen and rescheduled:** dues fixed at ₹87,695 Cr as of December 2025, with token payments until 2032 and the reassessed balance payable only from March 2036 — a ₹57,491 Cr write-back in Q4 FY26 [\(Source\)](#)
- **Airtel and Tata Teleservices were refused the same relief:** the DoT called the Vi package company-specific and required roughly ₹10,000 Cr of AGR payment by 31 March 2026 [\(Source\)](#)
- **Starlink cleared Indian regulation and chose partnership over war:** it holds a five-year unified licence and has distribution tie-ups with both Airtel and Jio rather than a direct assault [\(Source\)](#)
- **Airtel signed a multi-billion-dollar 4G and 5G equipment contract with Ericsson,** while Ericsson localised 100% of its antenna production for India and Nokia expanded its Chennai plant [\(Source\)](#)
- **Domestic equipment is winning share of the state network:** BSNL's 4G runs on a C-DoT core with Tejas Networks radios, and Tejas drew a ₹69.96 Cr PLI incentive [\(Source\)](#)
- **Airtel returned capital rather than reinvesting it:** a ₹24 per share dividend for FY26 alongside net debt reduction of nearly ₹47,500 Cr [\(Source\)](#)

Key Business Risks

- **AGR remains an open-ended liability** — Vi's dues were frozen at ₹87,695 Cr and deferred to 2036, but the same relief was denied to Airtel and Tata Teleservices, so the rule is discretionary rather than settled [\(Source\)](#)
- **Vodafone Idea is solvent only by policy** — net worth is negative at ₹35,758 Cr against ₹1.93 lakh cr of borrowings; its FY26 profit came entirely from a ₹57,491 Cr AGR write-back [\(Source\)](#)
- **Tariff increases are the whole earnings thesis** — realisation per GB is still falling and voice volumes are flat, so a delayed or shallower hike removes the growth outright [\(Source\)](#)
- **Regulatory levies come off the top line** — an 8% licence fee plus spectrum usage charges are levied on revenue before costs, and spectrum is bought from a single seller at auction [\(Source\)](#)
- **Import dependence exposes capex to currency and geopolitics** — India still imports about seven times the telecom equipment it exports despite the PLI scheme [\(Source\)](#)
- **Satellite broadband could reset the rural economics** — Starlink bypasses towers entirely; partnership protects the incumbents for now, but not permanently [\(Source\)](#)
- **BSNL absorbs public capital without gaining share** — revenue grew 1.7% and the FY26 loss widened to ₹4,738 Cr, roughly ₹7,000 Cr below the government's own target [\(Source\)](#)

Balance Sheet Snapshot

Consolidated, as at 31-Mar-2026 (₹ Cr)

Company	Net worth	Borrowings	Fixed assets	Total assets
Bharti Airtel	1,49,057	1,95,412	4,06,337	5,45,373
Vodafone Idea	(35,758)	1,92,528	1,56,906	1,91,638
Indus Towers	39,646	21,127	49,514	71,315
Tata Comm	3,447	12,249	15,481	28,287

Balance sheets from Screener.in — [Bharti Airtel](#) · [Vodafone Idea](#) · [Indus Towers](#) · [Tata Comm](#). Jio Platforms and BSNL are unlisted and not shown

- **Telecom is the most capital-intensive business in the index.** Airtel carries ₹4.06 lakh cr of fixed assets — spectrum, towers, fibre and equipment — to produce ₹2.11 lakh cr of annual revenue. [\(Source\)](#)
- **Borrowings look alarming until you separate them.** Much of the ₹1.95 lakh cr at Airtel is deferred spectrum and lease liability rather than bank debt; net debt excluding leases is ₹91,049 Cr. [\(Source\)](#)
- **Deleveraging is the FY26 story.** Airtel's net debt to EBITDA fell from 1.42x to 0.79x in one year as tariff-led EBITDA rose and capex normalised. [\(Source\)](#)
- **Vodafone Idea's equity has been wiped out.** Net worth is negative ₹35,758 Cr against ₹1.93 lakh cr of borrowings; it continues to operate only because the government converted dues to equity and deferred the rest to 2036. [\(Source\)](#)
- **Tower companies show what the assets are worth when separated.** Indus Towers earns ₹7,145 Cr on ₹71,315 Cr of assets with modest leverage — the same physical infrastructure, without the spectrum liability attached. [\(Source\)](#)
- **Cash generation has finally caught up with the asset base.** Airtel produced ₹1.22 lakh cr of operating cash flow and ₹76,683 Cr of free cash flow in FY26, funding a ₹24 per share dividend. [\(Source\)](#)

Financial Snapshot & Valuation

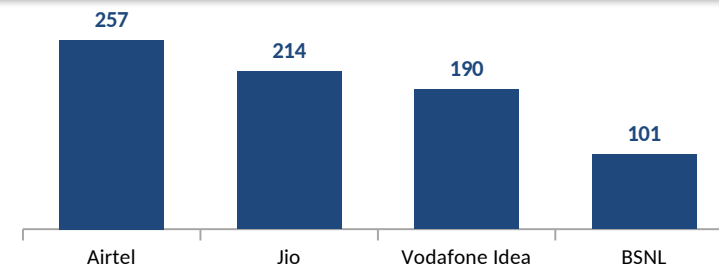
FY26 results; market data as of 31-Jul-2026

Company	Revenue (₹ Cr)	EBITDA margin	PAT (₹ Cr)	M-cap (₹ Cr)	P/E	ROCE
Bharti Airtel*	2,10,973	55%	33,823	12,30,536	46.2	17.6%
Jio Platforms†	1,72,317	n.a.	30,053	unlisted	—	—
Vodafone Idea	44,873	42%	34,552‡	1,40,954	n.m.	(1.6%)
Indus Towers	32,493	55%	7,145	1,03,179	14.4	19.5%
Tata Comm	24,803	19%	997	50,060	48.1	14.6%
BSNL†	21,199	n.a.	(4,738)	unlisted	—	—

*Consolidated, includes Africa. †Unlisted. ‡Includes a ₹57,491 Cr exceptional gain from the AGR write-back. Sources: [Airtel](#) · [Jio](#) · [Vodafone Idea](#) · [BSNL](#); multiples and balance-sheet items from [Screener.in](#)

- **Two companies now earn essentially all the sector's profit.** Airtel made ₹33,823 Cr and Jio Platforms ₹30,053 Cr in FY26; everyone else either loses money or operates in an adjacent niche. [\(Source\)](#)
- **Margins reflect a built network, not pricing power.** At 55% EBITDA margins, almost every incremental rupee of ARPU falls to operating profit — which is why a tariff step moves earnings so violently. [\(Source\)](#)
- **Vodafone Idea's ₹34,552 Cr profit is an accounting event.** Strip out the ₹57,491 Cr AGR write-back and the underlying business still loses money at a 42% EBITDA margin, because interest and depreciation consume it. [\(Source\)](#)
- **The market pays a growth multiple for a utility.** Airtel trades at 46x earnings on 17.6% ROCE, while Indus Towers — same assets, no spectrum risk — trades at 14.4x on a higher 19.5% ROCE. [\(Source\)](#)
- **Tata Communications shows the enterprise model is a different business.** 19% EBITDA margins against 55% for access operators, because it resells global capacity rather than owning scarce spectrum. [\(Source\)](#)
- **BSNL is a fiscal cost, not a competitor.** ₹21,199 Cr of revenue and a widening ₹4,738 Cr loss, against a government revenue target it missed by over ₹7,000 Cr. [\(Source\)](#)

Unit Economics — Revenue per User



- **Monthly ARPU, Q4 FY26 (₹).** The 2.5x spread between Airtel and BSNL is the whole competitive story — same spectrum, same towers, very different subscriber mix [\(Source\)](#) (2) (3)
- **Users pay more while data gets cheaper:** blended ARPU is up 7% over five quarters to ₹194.57, but realisation per GB fell 16% to ₹7.87 as usage rose to 25.7 GB a month [\(Source\)](#)
- **Voice is no longer a product:** 1,012 minutes and 10 SMS per user per month, both flat for over a year — bundled free and monetised only through the data plan [\(Source\)](#)

Unit Economics — Cost & Capital Intensity

What it costs to serve the user, FY26

Metric	Value
Blended ARPU (Q3 FY26)	₹194.57
Realisation per GB	₹7.87
Data per user per month	25.7 GB
Voice minutes per user	1,012
Licence fee (% of AGR)	8%
Spectrum usage charge (quarter)	₹1,020 Cr
Airtel FY26 capex	₹47,522 Cr
Airtel net debt / EBITDA	0.79x
Airtel FY26 free cash flow	₹76,683 Cr

An operator earns about ₹195 a month per user and hands roughly ₹16 of it to the government in licence fee and spectrum charges before paying for a single tower. Everything after that is fixed cost — which is why scale, not price, decides who survives [\(Source\)](#) (2)